Virginia (:)

SEPTEMBER 2026 Gambling Market & Regulatory Brief · Published 15 Oct 2026 (Virginia Lottery September casino wagering activity report); sports-betting data = Lottery August 2026 report filed 30 Sep 2026 (September sports report due ~30 Oct 2026) · Currency USD (tables in $ millions unless stated; Virginia reports in USD — no FX conversion required)

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THE ONE-LINE VERDICT

September 2026 confirms Virginia's land-based casino market has re-based to a ~$1.2bn annualised AGR run-rate: five casinos won $97.6m (+33.5% YoY, flat MoM) with Caesars Danville (+28% YoY) and the Petersburg temporary Live! (opened Jan-26) doing the heavy lifting, while the two older permanent properties grew only mid-single digits and the state took $20.66m (21.2% effective) in graduated AGR tax. Online sports betting — the only digital vertical, taxed at 15% of AGR with 11 mobile permit-holders — is decelerating (August handle +4.3% YoY vs +22% a year earlier; hold 8.9%), and the big regulatory swing factors (iGaming, skill games, a Northern Virginia casino, the 2027 permanent openings in Norfolk and Petersburg) remain unresolved under the new Spanberger administration.

CASINO AGR (SEP-26, 5 CASINOS)	SAME-STORE AGR (3 PERMANENT CASINOS)	CASINO TAX INCL. HOST-CITY SHARE (SEP-26)	SPORTS HANDLE (AUG-26, LATEST)	SPORTS AGR (AUG-26)	OPERATING CASINOS
$97.6m	**$83.7m**	**$20.66m**	**$532.3m**	**$47.2m**	**5**
+33.5% YoY / +0.03% MoM	+14.5% YoY	+30.9% YoY; 21.2% effective	+4.3% YoY / −12.6% MoM	8.9% hold; tax $7.0m	+2 YoY (Petersburg, Norfolk temporaries)

1 EXECUTIVE SUMMARY

- **Casino GGR step-change.** Virginia's five operating casinos reported $97.58m of adjusted gaming revenue (AGR = wagers minus winnings, gross of tax) for September 2026, +33.5% on the $73.08m won by three casinos in September 2025 and essentially flat (+0.03%) on August's $97.55m. September 2024 was $56.6m, so the market has grown ~72% in two years.
- **Growth is two-thirds new supply, one-third same-store.** The Petersburg temporary Live! ($13.05m) and Norfolk's Interim Gaming Hall ($0.84m) added $13.9m YoY; the three permanent properties grew $10.6m (+14.5%) to $83.7m, with Caesars Virginia +28.2% to $36.15m, Rivers Portsmouth +6.5% to $25.89m and Hard Rock Bristol +5.1% to $21.65m.
- **Slot-led floor economics.** Slots produced $71.6m (73.4% of AGR) from 5,352 units — $446 win/unit/day statewide, ranging from $540 at Caesars to $212 at the 132-unit Norfolk hall; tables produced $26.0m from 283 games, with Caesars' 88 tables alone winning $11.15m ($4,220/table/day). Table win jumped ~19% MoM while slots eased, so September's flat headline masks a mix shift.
- **Tax take and bracket creep.** Graduated AGR tax (18% to $200m, 23% to $400m, 30% above, per calendar year, inclusive of the 6/7/8% host-city share) generated $20.66m, +30.9% YoY. The figure reconciles to Caesars and Rivers paying 23% and the other three paying 18%; Caesars (CY2025 AGR $393.8m) is on track to hit the 30% band in Q4-26 and Hard Rock (~$256m in CY2025, derived) should cross $200m around October.
- **Where the money goes.** Of September's $20.66m: $6.47m to host localities (Danville $2.53m, Portsmouth $1.81m, Bristol's Regional Improvement Commission ~$1.30m, Petersburg $0.78m, Norfolk $0.05m), $165k (0.8%) to the Problem Gambling Treatment and Support Fund, $41k (0.2%) to the Family and Children's Trust Fund, $8k to the Virginia Indigenous People's Trust Fund, and $13.98m to the state Gaming Proceeds Fund (school construction).
- **Sports betting is maturing, not growing.** The Lottery's August 2026 report (filed 30 Sep 2026) shows handle of $532.3m across eleven mobile operators and three casino retail books, +4.3% YoY versus +22.4% growth in August 2025; AGR was $47.2m (8.9% of handle) and tax $7.02m. July 2026 handle had spiked +42% YoY to $609.2m on the US-hosted FIFA World Cup, so August's deceleration is partly normalisation.
- **September sports comparator is tough.** September 2025 handle was $737.2m (+18.5% YoY) with a 9.5% gross hold; the September 2026 report is due ~30 Oct 2026 and will show whether the NFL ramp can clear that base. March 2026 handle was already −2.4% YoY ($672.8m), the first notable decline we see in the series.
- **Sports tax regime is operator-friendly on paper.** 15% of AGR, with AGR net of winnings, voids, the 0.25% federal excise and — only during an operator's first 12 months — promotional/bonus play. No noncash-winnings deductions were claimed in FY2027 to date, i.e. no mobile operator is still inside its launch window and no new brand has entered in the past year. 97.5% of tax goes to the General Fund, 2.5% to problem-gambling treatment. FY2027 YTD (Jul–Aug): handle $1,141.4m, AGR $102.5m, tax $23.7m.
- **Licensing is closed-door for casinos, capped for sportsbooks.** Casino operator licences are tied to referendum-approved host cities (Bristol, Danville, Portsmouth, Norfolk, Petersburg — Richmond rejected casinos in 2021 and 2023), cost $15m for a 10-year term and require ≥$300m investment. Mobile sports permits are limited to 4–12 untethered permits (plus casino- and pro-team-affiliated permits), $250k per 3-year term, $200k renewal; with 11 active mobile operators the headroom for a new entrant is thin and realistically means acquiring or partnering for an existing permit.
- **Operator landscape.** Casinos: Caesars/EBCI (Danville), Rush Street (Rivers Portsmouth), Hard Rock International with local partners (Bristol), Cordish/Bruce Smith (Live! Petersburg, permanent $1.4bn resort late 2027), Boyd/Pamunkey Tribe (Norfolk, permanent $750m resort late 2027). Caesars holds a 37% share of September AGR, Rivers 27%, Hard Rock 22%, Live! 13%. The Lottery does not publish operator-level sports data; national leaders FanDuel and DraftKings are presumed to dominate [unverified share].
- **Lottery remains the largest state gaming cash generator.** The Virginia Lottery (which also regulates casinos and sports betting) reported record FY2026 (Jul-25–Jun-26) sales and ~$914m of profit for K-12 education per trade press [secondary]; cumulative profit since 1989 exceeds $18.2bn. Online lottery (iLottery) has operated since July 2020 and competes directly with any future iGaming product.

- **Online casino is not legal.** Only sports betting and iLottery are online; a General Assembly joint subcommittee has studied iGaming feasibility (report HD3, 2026, referencing HB 2171 which would have put internet gaming under the Lottery Board) but no bill has passed. Legalisation would likely be casino-tethered and is the single largest upside optionality in the market.
- **HHR and skill games are the adjacent battlegrounds.** Historical horse racing (Rosie's/Colonial Downs, Churchill Downs Inc.) is regulated separately by the Virginia Racing Commission and competes with casinos for regional slot spend (HHR GGR n/a this cycle). Unregulated 'skill game' terminals were banned from July 2021; a 2024 legalisation bill was vetoed by Gov. Youngkin and the issue has recurred in every session since — the 2026 outcome and any 2027 bill are key watch items [status unverified].
- **Payments and RG rules are mainstream US-regulated.** Minimum age 21; account-based online betting with KYC/geolocation; Lottery-run Voluntary Exclusion Program spanning casinos and sportsbooks; statutory problem-gambling funding from both verticals (0.8% of casino tax, 2.5% of sports tax); bans on betting on Virginia college teams, college player props and youth sports; Lottery regulations restrict advertising to under-21s and on campuses. Card and ACH payments dominate; credit-card deposit rules [unverified].
- **Political direction.** Gov. Abigail Spanberger (D) took office January 2026 with a Democratic General Assembly; the FY2027 Appropriation Act (Ch. 1, 2026 Special Session I) preserved the sports AGR definitions. The 2027 session (Jan–Mar 2027) is the next window for iGaming, skill-game and Northern Virginia (Fairfax/Tysons) casino bills; Richmond's loss of its casino slot to Petersburg shows local referendums remain the binding constraint.
- **Read-through for B2Tech.** Virginia is a high-quality, moderately taxed, supply-constrained market: casino licences are effectively unavailable except via the two 2027 permanent openings' supply chains; mobile sports access requires a permit transaction or B2B/platform positioning with an existing holder; the asymmetric upside is iGaming legalisation, where early B2B relationships with the five casino licensees would be the entry route.
- **Risk balance.** Near-term risks are a sports-handle plateau (hold ~9%, no promo deductibility beyond year one), casino tax-bracket step-ups compressing margins at Caesars and Hard Rock, and cannibalisation when Norfolk's permanent resort opens 10 miles from Rivers Portsmouth in late 2027; medium-term risks are a sports tax increase (budget pressure) and prediction-market encroachment on the regulated sportsbook base.

2 MARKET SUMMARY

US $M (PERIOD IN ROW LABEL)	LATEST MONTH	PRIOR MONTH	MOM	SAME MONTH LY	YOY
LAND-BASED CASINOS — AGR (WAGERS − WINNINGS; GROSS OF TAX)					
Total casino AGR (Sep-26)	**97.58**	**97.55**	**+0.03%**	**73.08**	**+33.5%**
Caesars Virginia, Danville	36.15	33.10	+9.2%	28.20	+28.2%
Rivers Casino Portsmouth	25.89	26.13	−0.9%	24.30	+6.5%
Hard Rock Hotel & Casino Bristol	21.65	22.92	−5.5%	20.60	+5.1%
Live! Casino Virginia, Petersburg (temporary, opened 22 Jan 26)	13.05	14.29	−8.7%	n/a	n/a
Interim Gaming Hall, Norfolk (temporary, opened 7 Nov 25)	0.84	~1.11 (derived)	~−24%	n/a	n/a
Same-store AGR (3 permanent casinos)	83.69	82.15	+1.9%	73.08	+14.5%
Slot AGR / share of total	71.58 / 73.4%	~75.7 / ~77.6% (derived)	~−5%	n/a	n/a
Table AGR / share of total	26.00 / 26.6%	~21.8 / ~22.4% (derived)	~+19%	n/a	n/a
Gaming positions (slots / tables, #)	5,352 / 283	5,325 / 283	+27 slots	n/a	n/a
Casino tax paid (state, incl. host-city share)	**20.66**	**20.02**	**+3.2%**	**15.78**	**+30.9%**
of which host localities (6%/7%/8% of AGR)	6.47	~6.34 (derived)	+2%	4.90	+32%
of which Gaming Proceeds Fund (state net)	13.98	n/a	n/a	n/a	n/a
Effective tax rate on AGR	21.2%	20.5%	+0.7pp	21.6%	−0.4pp
SPORTS BETTING — ONLINE-LED (LATEST LOTTERY REPORT = AUG-26)					
Handle (Aug-26 vs Jul-26 vs Aug-25)	**532.28**	**609.16**	**−12.6%**	**510.18**	**+4.3%**
Adjusted gross revenue (AGR)	47.16	55.39	−14.9%	n/a	n/a
Hold (AGR ÷ handle)	8.9%	9.1%	−0.2pp	n/a	n/a
Tax at 15% of AGR (10 of 11 operators taxable)	7.02	n/a	n/a	n/a	n/a
FY2027 YTD (Jul–Aug 26): handle / AGR / tax	1,141.4 / 102.5 / 23.7	—	—	—	—
Sep-25 handle (comparator for pending Sep-26 report)	737.18 (Sep-25)	510.18 (Aug-25)	+44.5%	622 (Sep-24)	+18.5%
LOTTERY (FY JUL–JUN)					
Lottery profit FY2026 (record sales) [secondary]	~914	n/a	n/a	n/a	n/a
REGIME SNAPSHOT					
Casino tax base & rate	AGR; 18% <$200m, 23% $200–400m, 30% >$400m CY AGR (incl. 6/7/8% host-city share)	—	—	—	—
Sports betting tax base & rate	15% of AGR (net of winnings, voids, federal excise; promos deductible only in first 12 months)	—	—	—	—
Licence fees	Casino $15m / 10 yrs (≥$300m capex); mobile sports permit $250k / 3 yrs, renewal $200k	—	—	—	—
Licensed operators	5 casinos (3 permanent + 2 temporary); 11 mobile sportsbooks + 3 casino retail books	—	—	—	—

3 DEEP-DIVE — LAND-BASED CASINOS (SEPTEMBER 2026 RELEASE)

> **$97.6m AGR, +33.5% YoY and flat MoM; Caesars Danville now 37% of the state, Petersburg temporary already 13%, and tax brackets are about to step up.**

STATEWIDE AGR

September 2026 adjusted gaming revenue was $97.58m across five properties, +33.5% YoY and flat (+0.03%) versus August's $97.55m.

- Report released 15 October 2026; covers permanent resorts in Danville, Portsmouth, Bristol plus temporaries in Petersburg (opened 22 January 2026) and Norfolk (opened 7 November 2025).
- September 2025 base was $73.08m with only three casinos operating.
- Monthly sequence since Petersburg opened: $95m (Feb), $100.1m (Mar), $108m (May, record), $102.5m (Jul), $97.6m (Aug and Sep).
- Implies a market running at roughly $1.15–1.20bn a year (our estimate); CY2025 actual was $969.1m, +32% on 2024's $732.2m.

CAESARS DANVILLE

Caesars Virginia won $36.15m, +28.2% YoY and +9.2% MoM, and continues to pull away from the rest of the state.

- Caesars/Eastern Band of Cherokee joint venture; permanent resort opened December 2024.
- $25.0m from 1,542 slots ($540 per unit per day) and $11.15m from 88 tables (~$4,220 per table per day), richest table yield in the state.
- Calendar-year AGR already past $200m, so now taxed at 23% (host share 7%).
- On its CY2025 run-rate ($393.8m) it will enter the 30% band (host share 8%) in the fourth quarter.

RIVERS AND HARD ROCK

Rivers Portsmouth won $25.89m and Hard Rock Bristol $21.65m, both growing mid-single digits YoY but down month on month.

- Rivers Casino Portsmouth (Rush Street): +6.5% YoY, −0.9% MoM, 1,428 slots ($432/unit/day) and 90 tables, in the 23% band.
- Hard Rock Bristol: +5.1% YoY, −5.5% MoM, 1,324 slots ($446/unit/day) and 73 tables.
- Bristol's 6% host-share rate shows it was still under $200m CY AGR in September; crossover and step to 23% likely in October.

TEMPORARY FACILITIES

Petersburg's Live! won $13.05m, down $1.2m MoM, while Norfolk's 132-slot interim hall won just $0.84m, ~24% below August.

- Live! Casino Virginia (Cordish Cos./Bruce Smith Enterprise): $9.5m from 926 slots, $3.55m from 32 tables; roughly $118m AGR accumulated since opening.
- Petersburg's 18% tax generated $2.35m for the state and $0.78m for the city; the decline follows two months of gains.
- Norfolk Interim Gaming Hall (Boyd Gaming/Pamunkey Indian Tribe): around $212 per unit per day; remits an additional 1% to the Virginia Indigenous People's Trust Fund.
- Both are placeholders for late-2027 resorts: the $1.4bn Live! Casino & Hotel Virginia (topped out October 2026) and Boyd's $750m Norfolk resort.
- These openings will roughly double the state's resort-grade supply within a 30-mile radius of Rivers Portsmouth.

SLOTS VERSUS TABLES

Slots delivered $71.6m (73.4%) and tables $26.0m (26.6%); the flat headline conceals favourable table variance rather than underlying growth.

- Table AGR rose roughly 19% MoM on Caesars' strong hold while slot AGR slipped ~5%.
- Statewide slot yield of $446/unit/day is healthy by regional US standards.
- Spread of Caesars $540 vs Live! $342 vs Norfolk $212 shows economics depend on Danville's drive-in catchment from North Carolina, where commercial casinos are not legal.

TAX AND DISTRIBUTION

Tax paid was $20.66m, +30.9% YoY, an effective 21.2% of AGR, with the marginal rate on Caesars' growth rising to 30% from Q4.

- Figure reconciles exactly to 23% on Caesars and Rivers and 18% on the other three.
- Host localities received $6.47m: Danville $2.53m, Portsmouth $1.81m, Bristol's Regional Improvement Commission ~$1.30m, Petersburg $0.78m, Norfolk $0.05m.
- $165k to the Problem Gambling Treatment and Support Fund, $41k to the Family and Children's Trust Fund, $13.98m to the Gaming Proceeds Fund for school construction.
- State's blended take will drift toward ~23% as more properties clear thresholds; below Pennsylvania's or Maryland's slot rates but well above Nevada or New Jersey.

MARKET ACCESS

The market is closed to new casino licences absent legislation, so B2Tech entry is through supply to the 2027 openings or tethered online sportsbooks.

- All five host-city slots are allocated and Richmond voters rejected casinos twice.
- Supply opportunities: cashless/CMS, slot content, table-side electronics, loyalty and sportsbook kiosks into the two 2027 openings.
- Online sportsbooks tethered to the casinos: BetRivers, Hard Rock Bet, Caesars.
- Local-press reports in September 2026 of a corporate transaction involving Caesars Entertainment, with Danville expected to continue under the Caesars Virginia brand, are an unverified governance watch item.

US $M, SEP-26 (VIRGINIA LOTTERY DATA)	AGR	SLOTS	TABLES	SLOTS / TABLES (#)	SLOT WIN/UNIT/DAY	MOM	YOY	TAX BAND / HOST SHARE
Caesars Virginia (Danville) — Caesars/EBCI	36.15	25.00	11.15	1,542 / 88	$540	+9.2%	+28.2%	23% / 7% ($2.53m)
Rivers Casino Portsmouth — Rush Street	25.89	18.52	7.37	1,428 / 90	$432	−0.9%	+6.5%	23% / 7% ($1.81m)
Hard Rock Bristol — Hard Rock Intl + local partners	21.65	17.72	3.93	1,324 / 73	$446	−5.5%	+5.1%	18% / 6% (~$1.30m to RIC)
Live! Casino Virginia, Petersburg (temp) — Cordish/Bruce Smith	13.05	9.50	3.55	926 / 32	$342	−8.7%	n/a	18% / 6% ($0.78m)
Interim Gaming Hall, Norfolk (temp) — Boyd/Pamunkey	0.84	0.84	0.00	132 / 0	$212	~−24% (derived)	n/a	18% / 6% ($0.05m) + 1% Indigenous Trust
Total — five casinos	**97.58**	**71.58**	**26.00**	**5,352 / 283**	**$446**	**+0.03%**	**+33.5%**	**Tax $20.66m (21.2%)**
Memo: same-store (3 permanent)	83.69	61.24	22.45	4,294 / 251	$475	+1.9%	+14.5%	—
Memo: Sep-25 (3 casinos)	73.08	n/a	n/a	n/a	n/a	−13.8%	+29.2%	Tax $15.78m (21.6%)
Memo: CY2025 total / CY2026E (estimate)	969.1 / ~1,150–1,200E	n/a	n/a	n/a	n/a	—	+32% (CY25)	—

4 DEEP-DIVE — SPORTS BETTING (ONLINE-LED; LATEST = AUGUST 2026 REPORT)

Handle growth has slowed to low-single digits outside event spikes; hold is anchored near 9% and the 15% AGR tax yields ~$7m a month in off-season.

HANDLE TREND

August handle was $532.3m, +4.3% YoY but −12.6% on July's $609.2m, the slowest August growth since launch.

- Market live since January 2021 under Va. Code § 58.1-4030 et seq.; eleven mobile permit-holders and three land-based casino sportsbooks (Rivers, Hard Rock, Caesars), retail immaterial.
- August 2025 base was $510.2m; July was inflated by the US-hosted FIFA World Cup (+42% YoY against a $429.3m base).
- August is the cleaner read on underlying demand.
- Earlier 2026 showed a similar plateau: February $574.6m (+3.2% YoY), March $672.8m (−2.4% YoY), May $581.3m, June +6.4% YoY.

HOLD AND AGR

Gross hold was 9.6% and AGR $47.2m (8.9% of handle); FY2027 to date handle is $1,141.4m, AGR $102.5m, tax $23.7m.

- AGR deductions in August: voided bets $2.2m, federal excise $1.3m (0.25% handle tax), adjustments $0.6m.
- FY2027 to date (July–August) hold is 9.0%.
- Zero 'noncash winnings' deductions reported; Virginia only allows free-bet and bonus deductions in an operator's first twelve months, so no operator launched in the past year.
- Taxable base is now essentially gross win; ten of eleven mobile operators reported cumulative positive taxable AGR, one carries forward losses and pays no tax.

TAX AND RATE RISK

Tax at 15% of AGR was $7.02m in August; a rate increase is a plausible 2027–28 measure and the main regulatory downside for sportsbooks.

- $6.84m to the General Fund, $175k to the Problem Gambling Treatment and Support Fund, per the 97.5/2.5 split.
- 15% is mid-table nationally: far below New York (51%), Pennsylvania (36%) or Illinois' progressive scale; roughly in line with Maryland (moved to 20%); above Nevada or Iowa.
- Rate unchanged since launch, although the promo deduction was tightened in the 2022 budget.
- Democratic trifecta and school-construction demands make an increase plausible.

SEPTEMBER OUTLOOK

We expect September 2026 handle of $740–780m (estimate) and AGR of $60–70m; anything below $737m would mark the first September decline.

- September 2026 report due ~30 October; September 2025 handle was $737.2m (+18.5% YoY) with 9.5% gross hold.
- Based on August's +4% trend and no World Cup tailwind; AGR depends on NFL outcomes.
- A decline would confirm the plateau.
- November is historically the peak month ($798.9m in 2025).

SHARES AND ENTRY

Operator-level data is unpublished; for B2Tech the practical route is supply to a permit-holder or a dormant-permit transaction, not a greenfield launch.

- National patterns suggest FanDuel and DraftKings hold a combined majority, with BetMGM, Caesars, Fanatics, bet365, BetRivers and Hard Rock Bet in the second tier [shares unverified].
- Untethered mobile permits capped at twelve (4–12 under statute); casino- and pro-team-affiliated permits sit outside the cap.
- Fee is $250,000 for three years and $200,000 on renewal.
- Prohibited: all Virginia college teams, player props on any college athlete, youth sports; minimum age 21.
- Greenfield B2C would face a saturated eleven-brand market, no promo deductibility after year one and a ~9% structural hold.

US $M (Virginia Lottery monthly sports betting reports)	Handle	AGR	Hold (AGR/handle)	Tax (15%)	Handle YoY
Aug-26 (latest; filed 30 Sep 26)	**532.28**	**47.16**	**8.9%**	**7.02**	**+4.3%**
Jul-26 (FIFA World Cup)	609.16	55.39	9.1%	n/a	+41.9%
FY2027 YTD (Jul–Aug 26)	1,141.44	102.55	9.0%	23.72	n/a
May-26	581.34	n/a	n/a	n/a	n/a
Mar-26	672.84	60.11	8.9%	9.01	−2.4%
Feb-26	574.6	n/a	n/a	n/a	+3.2%
Dec-25	710.95	n/a (gross win 83.4)	11.7% gross	n/a	n/a
Nov-25 (peak month)	798.88	n/a (gross win 99.2)	12.4% gross	n/a	+5.0%
Sep-25 (comparator for pending Sep-26)	737.18	n/a (gross win 69.7)	9.5% gross	n/a	+18.5%
Aug-25	510.18	n/a (gross win 62.9)	12.3% gross	n/a	+22.4%
Feb-25	556.84	61.91	11.1%	9.30	+2.2%
Regime: permits / fee / tax	11 mobile + 3 retail	4–12 untethered permits	$250k / 3 yrs; $200k renewal	15% of AGR; 97.5% GF / 2.5% PG fund	Promos deductible first 12 months only

5 DEEP-DIVE — LOTTERY, HISTORICAL HORSE RACING AND THE GREY MARKET

The Lottery is the state's largest gaming earner and the regulator of both new verticals; HHR and unregulated skill games compete for the same regional slot wallet.

VIRGINIA LOTTERY

The Lottery is the state's largest gaming earner, with FY2026 profit to K-12 education of about $914m, and regulates casinos and sportsbooks.

- Monopoly lottery operator and, since the 2020 acts, licensing and tax-collection authority for casinos and sportsbooks, reporting monthly under § 58.1-4031.
- Trade press cites record FY2026 (July 2025–June 2026) sales; cumulative profits since 1989 above $18.2bn [secondary; sales figure not verified this cycle].
- Draw games sold online since July 2020; now offers iLottery instants and virtual sports ('VSports').
- A digital state-owned casino-adjacent product already exists, a precedent and competitor for any future commercial iGaming regime.

HISTORICAL HORSE RACING

HHR under Colonial Downs and Rosie's is the other regulated slot-like channel and the best proxy for casino growth being incremental versus substitution.

- Operated by Churchill Downs Inc. under the Virginia Racing Commission rather than the Lottery, with a statutory statewide terminal cap and separate tax structure.
- Monthly HHR GGR, terminal counts and tax take were not retrieved this cycle and are shown as n/a.
- Rosie's in Richmond, Hampton, Dumfries and Vinton overlap catchments with Petersburg, Norfolk/Portsmouth and the future Northern Virginia casino debate.

SKILL GAMES

Unregulated skill games remain the unresolved file; legalisation would be the single largest new source of slot competition for casinos and HHR.

- Banned in convenience stores and truck stops from July 2021 after a one-year grace period; enforcement tied up in litigation through 2023.
- 2024 bill SB 212 to legalise and tax them was vetoed by Gov. Youngkin after the General Assembly rejected his amendments.
- Bills have returned every session; 2026-session status and on-the-ground operating reality could not be verified.
- Legalisation is typically pitched at 25–35% of revenue with several thousand terminals; conversely a B2B terminal/platform opportunity.

IGAMING

Online casino remains illegal; our base case is no enactment before the 2027 permanent casino openings, with a 2027–28 debate more likely.

- Joint subcommittee on gaming governance published House Document 3 in 2026 examining iGaming feasibility, including HB 2171 (Del. Simon) for Lottery Board-regulated internet gaming; no bill passed.
- Same process has debated consolidating the Lottery, Racing Commission and charitable-gaming oversight into a single Virginia Gaming Commission [status unverified].
- Five casino licensees have so far prioritised protecting their land-based ramp.
- Debate likely once Norfolk and Petersburg are open and seeking omnichannel revenue.

ADJACENT VERTICALS (US $M UNLESS STATED)	LATEST FIGURE	PERIOD	REGULATOR	TAX BASE / RATE	STATUS / NOTE
Lottery profit to education	~914 [secondary]	FY2026 (Jul-25–Jun-26)	Virginia Lottery (self-operated)	Net profit transfer	Record sales year; cumulative >$18.2bn since 1989
Lottery sales	n/a (record)	FY2026	Virginia Lottery	—	Figure not verified this cycle
iLottery / online draw & instants	n/a	Live since Jul-20	Virginia Lottery	—	Only legal online casino-style product
Historical horse racing (Rosie's / Colonial Downs)	n/a	2026	Virginia Racing Commission	Pari-mutuel-style HHR tax; statewide terminal cap	GGR, terminal count and tax not retrieved — n/a
Skill games (unregulated terminals)	n/a (illegal)	Ban effective Jul-21	Enforcement via localities / courts	Proposed bills: tax on revenue	2024 legalisation vetoed; 2026 session outcome [unverified]
Online casino (iGaming)	Not legal	—	Would be Lottery Board (per HB 2171)	Proposed: tethered to casino licensees	Joint subcommittee report HD3 (2026); no bill passed

6 DEEP-DIVE — LICENSING & TAX REGIME

Five referendum-gated casino licences at $15m/10 years with an 18–30% graduated AGR tax; up to twelve untethered $250k mobile sports permits taxed at 15% of AGR.

CASINO LICENSING

Five referendum-gated casino licences cost $15m for ten years, require $300m minimum investment, and permit a temporary facility during construction.

- Authorised by the 2020 General Assembly (Va. Code § 58.1-4100 et seq.) for Bristol, Danville, Portsmouth, Norfolk and Richmond, cities meeting economic-distress criteria.
- Richmond rejected casinos in November 2021 and November 2023; 2024 legislation reassigned the fifth slot to Petersburg, approved November 2024.
- Lottery Board issued licences to Hard Rock Bristol (April 2022), Rivers Portsmouth (November 2022), Caesars Virginia (April 2023), then Norfolk (Boyd/Pamunkey) and Petersburg (Cordish/Bruce Smith).
- Both Petersburg and Norfolk are using the temporary-facility route.

CASINO TAX

Casino AGR is taxed monthly on a calendar-year graduated scale of 18%, 23% and 30%, with host shares carved out rather than added.

- 18% on the first $200m, 23% on $200–400m, 30% above $400m; AGR is wagers minus winnings with no promotional deduction.
- Host locality share is 6%, 7% and 8% at the same thresholds; Bristol's goes to a Regional Improvement Commission; 1% of tribal-affiliated AGR to the Virginia Indigenous People's Trust Fund.
- Of remaining state tax, 0.8% funds problem-gambling treatment, 0.2% the Family and Children's Trust Fund, balance to the Gaming Proceeds Fund for school construction.
- September 2026: $20.66m total, $6.47m to localities, $13.98m to Gaming Proceeds Fund, 21.2% blended rate rising as Caesars enters 30% and Hard Rock 23%.

SPORTS PERMITS

The Lottery may issue four to twelve untethered mobile permits at $250,000 for three years, taxed at 15% of AGR.

- Casino- and pro-franchise-affiliated permits sit outside the range; renewal is $200,000; the Lottery vetted 25 applications at the 2020 opening.
- AGR deducts winnings, voided bets, federal excise and promotional play only during the first twelve months, per 2022 budget language carried forward in the FY2027 Appropriation Act.
- Operators with negative cumulative AGR carry losses forward and pay nothing, which is why only ten of eleven mobile books were taxable in August 2026.
- Revenue splits 97.5% General Fund / 2.5% problem-gambling fund.

RESTRICTIONS AND FEES

Modest fees and mid-range taxes make Virginia a comparatively high-margin state, which is why incumbents will resist dilutive new permits or iGaming.

- Minimum age 21; no betting on Virginia college teams or college player props; no youth-sports wagering.
- Casinos may operate retail sportsbooks under their own permit; no credit-extension beyond standard marker rules.
- Pennsylvania charged $10m per online sports licence and up to $50m for a casino licence; New York's mobile licences cost $25m.

B2TECH IMPLICATIONS

No sixth casino licence without legislation and a referendum, mobile entry is a permit-transaction market, and Lottery vendor licensing is table stakes.

- A Fairfax/Tysons bill has been debated since 2024 (2026 status unverified); land-based exposure must come via supply or partnership.
- With eleven brands live and the cap at twelve plus affiliates, the Lottery could issue one more untethered permit, but the case for a twelfth brand without promo deductibility is weak.
- Suitability and vendor-licensing use standard US-style key-person and supplier registrations.

REGIME DETAIL	CASINO	MOBILE SPORTS BETTING	CASINO-AFFILIATED / RETAIL SPORTSBOOK
Enabling law	Va. Code § 58.1-4100 et seq. (2020); host-city referendum required	Va. Code § 58.1-4030 et seq. (2020); launched 21 Jan 2021	Same chapter; permit tied to casino licence
Regulator	Virginia Lottery / Lottery Board	Virginia Lottery / Lottery Board	Virginia Lottery
Licence type & term	Casino operator licence, 10 years	Mobile permit, 3 years	Permit, 3 years
Fee	$15m initial; ≥$300m capital investment	$250k application; $200k renewal	$250k / $200k
Number available / issued	5 cities (Bristol, Danville, Portsmouth, Norfolk, Petersburg); 5 issued	4–12 untethered permits; 11 mobile operators live	3 casino retail books live (Rivers, Hard Rock, Caesars)
Tax base	AGR (wagers − winnings; no promo deduction)	AGR (handle − winnings − voids − federal excise − promos in first 12 months)	As mobile
Rate	18% / 23% / 30% at $200m / $400m CY AGR	15%	15%
Allocation	Host city 6/7/8% of AGR; 0.8% PG fund; 0.2% FCTF; 1% Indigenous Trust (tribal); balance Gaming Proceeds Fund	97.5% General Fund; 2.5% PG Treatment & Support Fund	As mobile
Sep-26 / Aug-26 tax take	$20.66m (21.2% effective)	$7.02m (Aug-26); FY27 YTD $23.72m	Included in sports total
Key restrictions	21+; temporary facility allowed pending permanent build	21+; no VA college teams, no college player props, no youth sports; online account/KYC/geolocation	As mobile

7 DEEP-DIVE — PAYMENTS, RESPONSIBLE GAMBLING, ADVERTISING AND ENFORCEMENT

Mainstream US-regulated consumer protections funded by statutory levies on both verticals; the live policy risk is political (tax, iGaming, skill games) rather than enforcement.

PAYMENTS

Payments are conventional for a US regulated state; whether credit-card funding of sports accounts is permitted is flagged [unverified].

- Sportsbook accounts funded by debit card, ACH/online banking, PayPal-type wallets, pre-paid play cards and casino-cage deposits, with KYC at registration and continuous geolocation.
- The Lottery's own iLottery wallet operates in parallel; casinos run cash and TITO floors with cashless/carded-play at operator discretion.
- Iowa, Tennessee and Massachusetts prohibit credit-card funding; a Virginia ban would be a low-cost legislative add-on.

RESPONSIBLE GAMBLING

Statutory levies fund problem-gambling treatment from both verticals; protections are mid-pack by US standards and have not constrained growth.

- Casino tax dedicates 0.8% ($165k in September 2026, roughly $2m a year) and sports tax 2.5% ($175k in August 2026, ~$2.5–3m a year) to the Problem Gambling Treatment and Support Fund.
- Fund administered by the Department of Behavioral Health and Developmental Services; a further 0.2% of casino tax funds the Family and Children's Trust Fund.
- Single Voluntary Exclusion Program covers casinos and online sportsbooks (multi-year and lifetime options); operators must offer deposit, time and wager limits; minimum age 21.
- Massachusetts and New Jersey go further on affordability and advertising.

ADVERTISING

Advertising is governed by Lottery regulations; the twelve-month promo-deductibility rule has dampened bonus intensity more than any advertising rule.

- No targeting of under-21s or college campuses, no misleading 'risk-free' terminology, responsible-gaming messaging in all creative, marketing-affiliate oversight.
- Virginia has not followed Ohio or Massachusetts into prohibitions on promotional language or sign-up bonus restrictions.
- Tightening plausible if a college-betting or youth-exposure incident becomes salient; nothing pending that we could verify.

ENFORCEMENT

Enforcement is predictable and low-risk for operators; the material risks are legislative — sports-tax increase, skill-game legalisation or an iGaming framework set without non-casino input.

- Capacity sits with the Lottery (casino and sportsbook compliance, licensee audit), Racing Commission (HHR), local law enforcement (skill games) and the Attorney General (offshore operators).
- Visible friction points: skill-game terminals that persisted through the 2021 ban and litigation, and federally regulated sports event contracts (prediction markets) outside the permit regime and 15% tax.
- The Lottery's formal position on prediction-market products was not retrieved.

POLITICS AND CALENDAR

Governor Spanberger's first budget left the gaming tax architecture unchanged; the next observable events run from ~30 October 2026 into the January 2027 session.

- FY2027 Appropriation Act (Chapter 1, 2026 Special Session I) made no change to gaming taxes.
- Lottery monthly letters now go to the Governor, Senate Finance chair Lucas and House Appropriations chair Torian, who will shape any 2027 gaming package.
- Upcoming: September sports report (~30 October 2026), Q4 casino prints showing the 30% bracket at Caesars, pre-filing of 2027 bills in December 2026, General Assembly from January 2027.

CONSUMER-PROTECTION AND MARKET-CONDUCT RULES	RULE / MECHANISM	CASINO	ONLINE SPORTS BETTING	COMMENT
Minimum age	21	21	21	Lottery products 18
Self-exclusion	Lottery Voluntary Exclusion Program	Lottery VEP (multi-year / lifetime)	Lottery VEP	Single statewide list across verticals
Problem-gambling funding	Statutory levy	0.8% of casino tax ($165k Sep-26)	2.5% of sports tax ($175k Aug-26)	Administered by DBHDS
Promotional play tax treatment	Not deductible	Not deductible	Deductible first 12 months only	Zero deductions claimed FY27 YTD
Prohibited wagers	—	Standard casino product set	VA college teams; college player props; youth sports	No in-play restrictions
Advertising	Lottery regulations	No under-21 / campus targeting; RG messaging	Same; affiliate oversight	No statutory bonus-ad ban
Payments	KYC + geolocation online	Cash/TITO/cashless at operator discretion	Debit, ACH, wallets, pre-paid, cage; credit-card status [unverified]	iLottery wallet separate
Enforcement bodies	Lottery; Racing Commission; localities; AG	Lottery audit & licensing	Lottery; AG vs offshore	Prediction-market stance not retrieved

8 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- **Structural supply growth into 2027.** Two permanent resorts — the $1.4bn Live! Casino & Hotel Virginia (Petersburg) and Boyd/Pamunkey's $750m Norfolk resort — open in late 2027, replacing a 926-slot and a 132-slot temporary with full resort floors; each is a multi-year procurement window for slot content, systems, cashless, sportsbook and hospitality tech, and Petersburg's temporary is already at a ~$160m annualised AGR pace (estimate) from a 32-table/926-slot box. structural
- **Moderate, predictable tax at a market still compounding.** Casino AGR +33.5% YoY and the September 2026 run-rate (~$1.15–1.20bn annualised, estimate) is being taxed at a blended 21.2% — below Pennsylvania/Maryland slot rates — while sports betting pays 15% of AGR with no rate change since 2021. Caesars Danville's $540 slot win/unit/day and ~$4,200 table win/unit/day show resort-grade yields in a market with no casino competition in neighbouring North Carolina. structural
- **iGaming optionality.** Virginia is one of the few large-population US states (8.8m) with casinos, iLottery and mobile sports but no online casino; the legislature has formally studied it (HD3, 2026; HB 2171 would have placed it under the Lottery Board). A tethered regime would hand each of the five casino licensees online skins — the natural B2B entry point for a platform/content provider positioned early. early
- **Clean, data-rich regulator with monthly disclosure.** The Lottery publishes property-level casino AGR, slot/table splits, unit counts and tax within ~15 days and sports aggregates within ~30 days under statutory mandate, enabling precise market modelling; September's tax reconciles to the dollar against the 18/23/30% bracket mechanics. structural
- **Event-driven upside in sports.** July 2026 handle rose 42% YoY to $609m on the US-hosted World Cup, demonstrating latent demand elasticity; November remains the structural peak ($799m in 2025) and the pending September print carries NFL seasonality. one-off
- **Permit scarcity protects incumbents' economics.** With eleven mobile brands against a cap of twelve untethered permits and no promo deductibility after year one, acquisition-cost inflation is limited and operator margins are structurally higher than in open-entry states — attractive for anyone able to secure or partner for an existing permit. structural

▼ LOWLIGHTS

- **Sports handle is plateauing.** Underlying growth has fallen to +4.3% YoY in August 2026 (vs +22.4% a year earlier) and March 2026 was −2.4% YoY; with hold anchored near 9% and no promotional deductions, AGR growth now depends on NFL variance and new product (same-game parlays), not new customers. structural
- **Tax-bracket step-ups compress casino margins in Q4.** Caesars Danville moves to the 30% band (8% host share) once CY2026 AGR passes $400m — likely in Q4 — and Hard Rock Bristol into the 23% band around October; the state's blended take drifts toward ~23% and the marginal rate on incremental Danville revenue is 30%. watch
- **Cannibalisation risk in Hampton Roads from 2027.** Norfolk's permanent resort will open roughly 10 miles from Rivers Portsmouth (already growing only +6.5% YoY), and Petersburg's full resort will pull Richmond-area spend that currently drives to Portsmouth and Danville; same-store growth at the two older permanents (+5–7%) leaves little cushion. structural
- **No greenfield casino or mobile entry.** All five host-city licences are allocated, Richmond has twice rejected a casino, a Northern Virginia casino bill has stalled since 2024 [2026 status unverified], and the mobile permit cap leaves at most one untethered slot in a saturated eleven-brand market. structural
- **Legislative tax and competition risk under a Democratic trifecta.** A sports-tax increase from 15% (Maryland, Illinois and Ohio have all raised rates since 2023), a skill-game legalisation that would add thousands of taxed terminals in convenience retail, or an iGaming framework written for the five casino licensees are all live 2027-session possibilities; the temporary-casino tax windfall gives legislators appetite for more gaming revenue. governance
- **Data gaps and ownership flux.** The Lottery publishes no operator-level sports data, HHR figures sit with a separate regulator, and local press in September 2026 reported a corporate transaction involving Caesars Entertainment that could change control of the state's largest casino [unverified]; prediction-market products also sit outside the Lottery's permit and tax perimeter. watch

9 FORECAST & OUTLOOK

Guidance bridge. The September 2026 release does not change the regulatory settings — tax rates, permit caps and allocation formulas are unchanged from the 2020 acts and the 2022 promo-deduction tightening, and the FY2027 Appropriation Act carried them forward — but it moves the market's base. Casino AGR has re-based from $969m (CY2025) to a ~$1.15–1.20bn annualised pace with two temporaries contributing ~14%, and the tax yield has risen faster than revenue (+30.9% vs +33.5% AGR with bracket step-ups still to come). The bridge from CY2025 to our CY2026 estimate is driven by the Petersburg temporary (opened 22 January 2026), the Caesars Danville ramp into its second full year, and modest growth at Portsmouth and Bristol; sports betting adds little incremental growth. The Lottery's September sports report (~30 October) and the Q4 casino prints are the next data points; the 2027 General Assembly session (January–March 2027) is the next regulatory one.

CY2025 CASINO AGR (ACTUAL, LOTTERY DATA)	+ PETERSBURG TEMPORARY LIVE! (11+ MONTHS, ~$118M THROUGH SEP)	+ SAME-STORE GROWTH (CAESARS RAMP, RIVERS/HARD ROCK MID-SINGLE DIGIT) AND NORFOLK FULL YEAR	= CY2026E CASINO AGR
$969.1m	**~+$155m (estimate)**	**~+$50–75m (estimate)**	**~$1,150–1,200m (estimate)**
+32% vs CY2024 ($732.2m)	new supply	+6–8% same-store	+19–24% YoY; implied tax ~$250–265m

Independent view. We expect **casino AGR to settle at ~$1.2bn in 2026 and grow only low-single digits in 2027** until the Petersburg and Norfolk resorts open late in the year, after which 2028 should see a second step-change toward **$1.5bn+ (estimate)** with partial cannibalisation of Rivers Portsmouth. The **blended casino tax rate rises from ~21% to ~23%** as Caesars and Hard Rock move up the brackets, lifting state casino tax toward **$270–290m in 2027 (estimate)**. **Sports handle should grow 0–5% a year** with AGR ~$650–700m annually (estimate) at a ~9% hold; the policy risk is skewed to a **rate increase toward 20%** rather than a cut, and a credit-card deposit ban or tighter advertising rules are cheap add-ons for a Democratic legislature. On market structure, we assign **a meaningful but sub-50% probability to iGaming enactment before 2028**, with the 2027 session more likely to produce a further study or a casino-tethered bill that stalls in the House; **skill-game legalisation remains a coin-flip each session** and is the larger near-term threat to slot yields. Leverage in the system is rising modestly — ~$2.2bn of resort construction in Petersburg and Norfolk is being financed against temporary-casino cash flows taxed at 18% — which makes the licensees sensitive to any 2027 tax change and therefore effective lobbyists against it.

What to watch next quarter:

- Virginia Lottery September 2026 sports betting report (~30 Oct 2026): handle vs the $737.2m September 2025 comparator; any print below that marks the first September decline.
- Q4-26 casino reports (Nov, Dec, Jan releases): Caesars Danville crossing $400m CY AGR into the 30% band; Hard Rock Bristol crossing $200m; whether same-store AGR holds +5%+ against the Petersburg ramp.
- 2027 General Assembly (pre-filing Dec 2026; session Jan–Mar 2027): iGaming bill following the HD3 (2026) subcommittee report; skill-game legalisation/tax; Fairfax/Tysons casino authorisation; any sports betting tax-rate or credit-card/advertising amendments.
- Construction and licensing milestones for Live! Casino & Hotel Virginia (Petersburg) and Boyd/Pamunkey Norfolk resort (both late 2027); Lottery Board actions on permanent-facility licences and any change of control at Caesars Virginia.
- Virginia Racing Commission HHR data and any terminal-cap change; Lottery or AG positioning on federally regulated sports event contracts (prediction markets) competing with the 15%-taxed permit-holders.

DATA CONFIDENCE: MEDIUM Currency: USD throughout; no FX conversion required. Casino figures (Sep-26, Aug-26, Sep-25, CY2025) are Virginia Lottery data as reproduced property-by-property by Virginia Business, CDC Gaming, Casino City Times and the Progress-Index; the Lottery's own 15 Oct 2026 release page is script-rendered and could not be read directly, but the property figures reconcile to the Lottery's $20.66m tax to within rounding (23% on Caesars/Rivers, 18% on the others) and match the Gaming Intelligence lead ($97.6m, +34%). Sports figures for Aug-26 and FY2027 YTD are from the Lottery's primary RD621 report; earlier months are from Lottery releases via GamingRegulation.com/rg.org/bettingnews. Items derived or estimated are labelled (Norfolk Aug-26 AGR; Aug-26 slot/table split; CY2026E; Hard Rock CY2025). Not verified this cycle: Lottery FY2026 sales and the ~$914m profit (trade press); HHR GGR/terminals/tax; 2026-session outcomes on skill games, iGaming, the Virginia Gaming Commission and a Fairfax casino; credit-card deposit rules; the reported Caesars Entertainment transaction; operator-level sports shares (not published by the Lottery). Progress-Index's Petersburg slot/table split is inverted relative to Virginia Business; we use the Virginia Business split, which is consistent with the 926-slot/32-table floor.

Sources: [Primary] Virginia Lottery — August 2026 Sports Betting Report to the Governor (RD621, filed 30 Sep 2026; Va. Code § 58.1-4031); [Primary] Virginia Lottery — How Virginia Sports Betting Revenues are Taxed (AGR definition, 15% rate, 97.5/2.5 allocation); [Primary] Virginia Lottery — Casinos page and index of monthly casino wagering activity press releases (September report dated 15 Oct 2026); [Primary] Virginia Lottery — press release: September casino wagering activity report (15 Oct 2026; page script-rendered); [Primary] Virginia Lottery — July 2026 Sports Betting Report (RD532) — index/snippet only; [Primary] Report of the Joint Subcommittee (HD3, 2026) — iGaming feasibility / HB 2171 — index/snippet only; [Secondary] Gaming Intelligence — Virginia land-based casinos post 34% jump in September gaming revenue (21 Oct 2026; lead article, paywalled); [Secondary] Virginia Business — Virginia casinos earn $97.6M in September revenues (16 Oct 2026; property-level Lottery data); [Secondary] Progress-Index via Yahoo News — Petersburg casino revenue drops in September, state data shows (16 Oct 2026); [Secondary] Virginia Business — Virginia casinos' August take is $97.6M (Sep 2026); [Secondary] CDC Gaming — Virginia casinos' August take is $97.6 million, down 4.8% (Sep 2026); [Secondary] Gaming Intelligence — Virginia land-based casino revenue rises 15% to $97.6 million in August (Sep 2026); [Secondary] Casino City Times — Virginia Lottery releases September 2025 casino activity report (16 Oct 2025; release reproduction); [Secondary] Virginia Business — Virginia casinos report $73M in September revenue (Oct 2025); [Secondary] CDC Gaming — Moves to permanent locations send Virginia revenue soaring 29.2% in September (Oct 2025); [Secondary] Virginia Business — Virginia casino revenue jumps 32% in 2025 (CY2025 totals, Jan 2026); [Secondary] GamingRegulation.com — Virginia Lottery news index (monthly casino and sports release summaries, 2025–26); [Secondary] BettingNews — Virginia sports betting revenue tops $55M in July 2026; [Secondary] RG.org — Virginia sports betting revenue statistics (Mar-26, Feb-26, Feb-25 data points); [Secondary] Casino.org — Virginia Lottery hits $914M jackpot with record fiscal 2026 sales (Aug 2026); [Secondary] WWBT 12 On Your Side — Live! Casino Virginia marks 6-month milestone with $77M in revenue (Aug 2026); [Secondary] WSET — Caesars Entertainment acquisition not expected to impact Danville casino (Sep 2026); [Secondary] Wikipedia — Virginia Lottery (cumulative profit >$18.2bn through June 2026; iLottery history).

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